

REFERENDUM ON 2020 LAW THAT WOULD PROHIBIT THE RETAIL SALE OF CERTAIN FLAVORED TOBACCO PRODUCTS.

OFFICIAL TITLE AND SUMMARY

PREPARED BY THE ATTORNEY GENERAL

The text of this measure can be found on page 121 and the Secretary of State's website at voterguide.sos.ca.gov.

A "Yes" vote approves (and allows to take effect) a law enacted by the State Legislature in 2020 that:

- Prohibits the retail sale of certain flavored tobacco products (including, but not limited to, cigarettes, e-cigarettes, chewing tobacco, and snuff) and tobacco flavor enhancers.
- Excludes from prohibition certain premium handmade cigars, loose leaf tobacco (not intended for making cigarettes), and shisha tobacco products (if sold by a hookah tobacco retailer meeting specified conditions).

A "No" vote rejects the law and prevents it from taking effect.

SUMMARY OF LEGISLATIVE ANALYST'S ESTIMATE OF NET STATE AND LOCAL GOVERNMENT FISCAL IMPACT:

- Decreased state tobacco tax revenues ranging from tens of millions of dollars annually to around \$100 million annually.

ANALYSIS BY THE LEGISLATIVE ANALYST

BACKGROUND

TOBACCO PRODUCTS

People use different types of tobacco products, including:

- **Cigarettes.** Smoking cigarettes is a common way to use tobacco. Aside from the naturally occurring tobacco flavor, cigarettes may be menthol flavored.
- **Electronic Nicotine Delivery Systems (ENDS).** These battery-operated devices (such as e-cigarettes, e-cigars, vapes, vape pens, cartridges, tanks, and mods) turn special liquid, which contains nicotine, into an aerosol. The user inhales the aerosol. The liquids might contain nontobacco flavors, such as fruit or mint flavors. Users also can add flavors separately.

- **Other Tobacco Products.** Other tobacco products can be used by smoking, inhaling, chewing, or other ways. These products include cigars, chewing tobacco, loose leaf tobacco, shisha tobacco (typically used in hookahs, a type of waterpipe), smokeless tobacco, heated tobacco, and nicotine pouches. Similar to ENDS, these products might have nontobacco flavors.

TOBACCO USE IN CALIFORNIA

According to survey data, around 10 percent of adults and youth in California use tobacco products. Surveys suggest that adults are much more likely than youth to smoke cigarettes regularly, while youth are more likely than adults to use ENDS products regularly. Among cigarette smokers, surveys suggest

ANALYSIS BY THE LEGISLATIVE ANALYST

CONTINUED

that about 20 percent of adults and about 50 percent of youth use menthol cigarettes. Surveys suggest that most ENDS users (both adults and youth) use flavored products.

REGULATION OF TOBACCO

Tobacco use and secondhand smoke increase the risk of many health problems, such as cancer, heart disease, stroke, respiratory diseases, and complications during pregnancy. The federal, state, and local governments have implemented various laws and regulations aimed at protecting the public from the harmful health effects of tobacco.

Federal Government Regulates Tobacco Products. Federal law approved in 2009 gives the federal Food and Drug Administration (FDA) authority to regulate the manufacture, marketing, sale, and distribution of tobacco products. Federal law also requires the FDA to review and authorize new tobacco products, such as ENDS, before they can be sold legally. Federal regulations specifically affecting flavored tobacco products include:

- **Federal Law Banned Cigarettes With Flavors, Except Menthol.** Federal law banned cigarettes with nontobacco flavors, except menthol, beginning in 2009.
- **FDA Recently Proposed Rules Banning Menthol From Cigarettes.** In April 2022, the FDA proposed (1) banning menthol-flavored cigarettes and (2) banning all nontobacco flavored cigars. The FDA now is deciding whether to finalize these bans.

- **FDA Continues to Review Applications to Sell New Tobacco Products Legally.**

As of June 2022, the FDA had authorized 42 new tobacco products—23 ENDS products (tobacco flavored or unflavored) and 19 other tobacco products (menthol, mint, or wintergreen flavored or unflavored). It has denied more than 1 million nontobacco-flavored ENDS products.

- **FDA Has Taken Some Steps to Limit Access to ENDS Products.** In 2020, the FDA began stepping up enforcement against certain unauthorized ENDS products, including ENDS products targeted toward youth.

State and Local Governments Can Have Additional Rules for Tobacco. While they cannot change product standards, state and local governments can have additional, stricter rules for tobacco. For example, California raised the minimum age for buying tobacco from 18 to 21 in 2016, a few years before the federal government did so nationwide in 2019.

Many Local Governments Have Banned Certain Sales of Flavored Tobacco Products.

Around one-third of Californians live in areas with rules banning certain sales of flavored tobacco products. Most of these local policies include a ban on the sale of menthol cigarettes.

STATE TOBACCO TAX REVENUES

State Tobacco Tax Revenues Fund a Variety of Programs. California charges tobacco taxes on cigarettes, ENDS, and other tobacco products. Last year, the state's tobacco taxes raised about \$2 billion.

ANALYSIS BY THE LEGISLATIVE ANALYST

CONTINUED

Figure 1

Program Areas Funded by State Tobacco Tax Revenues

Program Area	Share of Revenue Last Year
Health care	56%
Early childhood programs	21
Tobacco control	12
Medical research	4
Other	7

Previous ballot propositions approved by the voters direct most of these revenues to specific programs. Figure 1 lists the main program areas funded by these revenues.

As shown in the figure, most state tobacco tax revenue goes to health care programs. For example, tobacco taxes are one of many funding sources for the Medi-Cal program. (The federal-state Medicaid program, known as Medi-Cal in California, provides health coverage to eligible low-income California residents.) Tobacco taxes also fund tobacco control efforts, such as preventing tobacco sales to youth.

RECENT EFFORT TO BAN FLAVORED TOBACCO

In 2020, the Legislature passed and the Governor signed a law—Senate Bill (SB) 793—to ban in-person stores and vending machines from selling most flavored tobacco products and tobacco product flavor enhancers. This law did not go into effect because a referendum on the law qualified for this ballot. When a referendum on a new state law qualifies for the ballot, the law is on hold until voters decide whether to put it into effect.

PROPOSAL

Proposition 31 is a referendum on SB 793 of 2020.

WHAT A “YES” AND “NO” VOTE MEAN

A “yes” vote on this referendum means that SB 793 goes into effect. A “no” vote means that SB 793 does not go into effect. SB 793 is described in more detail below.

MAIN PROVISIONS OF PROPOSITION 31 (SB 793)

Bans Most Sales of Flavored Tobacco Products and Tobacco Product Flavor Enhancers. Proposition 31 (SB 793) prohibits in-person stores and vending machines from selling most flavored tobacco products or tobacco product flavor enhancers. The proposition does not ban shisha (hookah) tobacco sold and used at the store, certain cigars, or loose-leaf tobacco.

Defines Flavored Tobacco Products. Proposition 31 defines flavored tobacco products as those that have a flavor, apart from the regular tobacco flavor. For example, the flavor could include fruit, mint, menthol, honey, chocolate, or vanilla. The proposition defines a tobacco product flavor enhancer as a product that creates a flavor when added to a tobacco product.

Charges a \$250 Penalty for Each Violation. Proposition 31 charges a \$250 penalty against stores and vending machine owners for each violation of the requirements described previously.

ANALYSIS BY THE LEGISLATIVE ANALYST

CONTINUED

FISCAL EFFECTS

Lower Tobacco Tax Revenues.

Proposition 31 likely would reduce state tobacco tax revenues by an amount ranging from tens of millions of dollars to around \$100 million annually. (Last year, state tobacco tax revenue was about \$2 billion.) This revenue loss would reduce funding for the types of programs listed in Figure 1, such as health care.

The size of this revenue loss depends largely on how consumers respond to the proposition. Some responses—such as consumers switching from flavored to unflavored products—could have very little effect on tobacco tax revenues. Some other responses—such as consumers stopping tobacco use entirely—would reduce tobacco tax revenues. If this second type of response is very common, then the revenue loss could be around \$100 million annually. If it is less common, then the revenue loss could be in the low tens of millions of dollars annually. How consumers would respond to the proposition is uncertain, leading to a range of likely revenue losses. (As noted previously, the FDA has proposed banning menthol cigarettes and flavored cigars. If the FDA finalizes its ban, then the revenue loss due to the proposition would be smaller.)

Uncertain Changes in State and Local Government Health Care Costs.

State and local governments pay for health care for their employees and for qualifying low-income people. Proposition 31 likely would reduce tobacco use, leading to better health. In the short term, better health likely would reduce some health care costs for state and local governments. The amount of savings is uncertain. Over time, better health could lengthen some people's lives, which could increase health care costs. Given that the proposition could result in both health care savings and increased health care costs for state and local governments over time, the resulting long-term net change in state and local government health care costs is uncertain.

Visit <https://www.sos.ca.gov/campaign-lobbying/cal-access-resources/measure-contributions/2022-ballot-measure-contribution-totals> for a list of committees primarily formed to support or oppose this measure.

Visit <https://www.fppc.ca.gov/transparency/top-contributors.html> to access the committee's top 10 contributors.

★ ARGUMENT IN FAVOR OF PROPOSITION 31 ★

YES ON 31. The American Cancer Society Cancer Action Network, American Lung Association in California and the American Heart Association support Yes on 31 because it will save lives.

Yes on 31 protects kids by ending the sale of candy-flavored tobacco products, including e-cigarettes and minty-menthol cigarettes. Big Tobacco uses candy-flavored products to target kids—including cotton candy, chocolate, strawberry, and minty-menthol—and lure them into a lifelong addiction to nicotine.

In fact, 4 out of 5 kids who have used tobacco started with a flavored product.

Get the facts at VoteYesOn31.com

YES ON 31 PROTECTS KIDS FROM GETTING HOOKED ON HIGHLY ADDICTIVE NICOTINE

Tobacco companies use candy flavors to hide strong hits of nicotine, a highly addictive drug that is especially dangerous for kids, harming brain development and impacting their attention, mood, and impulse control. With a Yes on 31 vote, we can stop Big Tobacco from using flavors to get kids hooked on nicotine and profiting from addiction, disease, and death.

- In California, almost all high school e-cigarette users prefer flavored products.
- Today—over 2 million middle and high school students nationwide use e-cigarettes.

The American Lung Association in California says, “Using candy flavors to trick kids into trying nicotine is the cornerstone of Big Tobacco’s deadly business model. Yes on 31 will save lives—protecting kids from ever getting hooked on tobacco in the first place.”

YES ON 31 SAVES LIVES AND TAXPAYER MONEY

Tobacco is the #1 preventable cause of death in California, where tobacco-related diseases kill 40,000 people each year. Smoking kills more people than alcohol,

AIDS, car accidents, illegal drugs, murders, and suicides combined. Of all the kids who become new smokers each year, almost a third will ultimately die from it.

Every time Big Tobacco addicts another generation of kids, they put taxpayers, whether they smoke or not, on the hook for billions of dollars in tobacco-related healthcare costs.

YES ON 31 PREVENTS BIG TOBACCO FROM CAUSING MORE HARM TO BLACK COMMUNITIES

Big Tobacco preys on Black neighborhoods, spending billions to lobby, advertise and market minty-menthol cigarettes—the original candy-flavored cigarette. In the 1950s, fewer than 10% of Black Americans who smoked used minty-menthols. Today, 85% do.

The NAACP says, “Tobacco companies use minty-menthol to mask the harsh taste of tobacco, which makes smoking easier to start and harder to quit. After targeting African Americans for decades, Big Tobacco is turning an enormous profit—while rates of tobacco-related heart disease, stroke and cancer skyrocket. Yes on 31 will take Big Tobacco’s candy-flavored tools of addiction out of our communities, saving lives and improving public health.”

PROTECT KIDS. VOTE YES ON 31

Yes on 31 will protect kids from ever trying tobacco and help users quit—saving hundreds of millions of taxpayer dollars annually, and saving countless lives. If we can save even a few lives by ending the sale of candy-flavored tobacco, it will be worth it.

Karmi Ferguson, Executive Director
American Academy of Pediatrics, California

Kathy Rogers, Executive Vice President
American Heart Association

Jose Ramos, National Board Member
American Cancer Society Cancer Action Network

★ REBUTTAL TO ARGUMENT IN FAVOR OF PROPOSITION 31 ★

31 PROP. 31 IS PROHIBITION and PROHIBITION NEVER WORKS

We can all agree kids should not use tobacco. That’s why it’s already illegal in California to sell tobacco—including vapes—to anyone younger than 21 years old.

Prop. 31 is adult prohibition, and prohibition has never worked—it didn’t work with alcohol or marijuana, and it won’t work now.

PROP. 31 WILL MAKE THINGS WORSE

The proponents claim Prop. 31 will reduce youth tobacco use, but experience shows it could backfire. When San Francisco passed a similar flavor ban after promising big reductions in youth tobacco use, a Yale University study found there was a significant INCREASE in cigarette smoking among high school students.

PROP. 31 WILL LEAD TO MORE CRIME

Research shows nearly half the cigarettes smoked in California are from illegal sources. Prop. 31 will increase illegal smuggling and counterfeit markets and force even more tobacco sales into underground markets controlled by organized criminal gangs. Prop. 31 will drive up

crime—especially in minority communities where menthol is preferred.

PROP. 31 WILL REDUCE TAX REVENUE AND CUT ESSENTIAL SERVICES

Prop. 31 will reduce state tax revenue by \$1 billion over the next four years—cutting funds for healthcare, education, seniors, and law enforcement.

PUBLIC EDUCATION IS BETTER THAN PROP. 31

Current laws and public education campaigns are working. Youth vaping is down 59% in the last three years, and youth smoking is at an all-time low of just 1.9%, according to the Centers for Disease Control & Prevention and the FDA.

Prohibition has never worked. Let’s not make the same mistake again.

NO ON PROP. 31

Yasha Nikitin, California Police Officer

Clint Olivier, Chief Executive Officer
Central Valley Business Federation

Pat Fong Kushida, President
CalAsian Chamber of Commerce

★ ARGUMENT AGAINST PROPOSITION 31 ★

The politicians who wrote Proposition 31 say it will reduce underage tobacco use—but it's already illegal to sell any tobacco product to anyone under the age of 21 in California, with big penalties for breaking the law.

PROP. 31 IS ADULT PROHIBITION

Prop. 31 enacts a sweeping new ban on menthol cigarettes, flavored smokeless tobacco, and other flavored non-tobacco nicotine products for adults over the age of 21. Prohibition has never worked—it didn't work with alcohol or marijuana, and it won't work now.

And Prop. 31's prohibition will impact minority neighborhoods more than any other, criminalizing the sale of menthol cigarettes which are primarily the choice of adult tobacco consumers in these communities.

PROP. 31 WILL INCREASE CRIME

Almost half of all cigarettes in California are sold in the underground market, smuggled in from other states or countries like China and Mexico. Prop. 31 will drive even more sales underground from licensed neighborhood retailers to gangs and organized crime. What's worse, Proposition 31 does not add a single penny to law enforcement to fight the violent crime that will follow.

"Proposition 31 is practically unenforceable. It will put criminals in charge and convert a highly regulated tobacco market into an unregulated criminal market, creating unnecessary and potentially dangerous police interactions."—Edgar Hampton, Retired California Police Officer

PROP. 31 WILL COST TAXPAYERS

A legislative analysis found that Prop. 31 will lead to "significant revenue losses" that will exceed \$1 billion in the next four years. That means less money for healthcare, education, programs for seniors and law enforcement.

PROP. 31 BANS FDA AUTHORIZED REDUCED HARM PRODUCTS AND COULD INCREASE CIGARETTE USE AMONG YOUNG PEOPLE

The Food and Drug Administration (FDA) now has regulatory authority over tobacco and vapor products and already has banned many flavored tobacco products, but Prop. 31 goes too far—banning the sale of flavored reduced-risk, smoke-free products authorized by the FDA "appropriate for the protection of public health" for adults 21 and over.

When adult consumers are denied access to potentially less harmful products authorized by the FDA, they continue with traditional cigarettes that produce second-hand smoke. San Francisco's flavor ban is a perfect example of the impact on youth as well: a Yale University study found there was a significant INCREASE in cigarette smoking among high school students—the exact opposite result the politicians promised.

PUBLIC EDUCATION IS BETTER THAN PROP. 31

California led the nation in raising the age to purchase tobacco to 21, has among the toughest anti-tobacco laws in the country, and spends over \$140 million a year to help people quit tobacco and stop kids from starting.

The results are clear: Youth vaping is down 59% in the last three years, and youth smoking is at an all-time low of just 1.9% according to the Centers for Disease Control and Prevention and the Food and Drug Administration.

California should not abandon what is clearly working and replace it with a failed policy of the past—prohibition—that will increase crime, cost taxpayers, and backfire on the communities we are trying to protect.

Please join us and vote NO on Prop. 31.

Michael Genest, Former Director
California Department of Finance

Julian Canete, President
California Hispanic Chambers of Commerce

Tom Hudson, President
California Taxpayer Protection Committee

★ REBUTTAL TO ARGUMENT AGAINST PROPOSITION 31 ★

VOTE YES ON 31: PROTECT KIDS FROM BIG TOBACCO.

Every word you just read from the "no" campaign was paid for and written by Big Tobacco. Don't fall for Big Tobacco's lies.

Tobacco companies used candy flavors to trick millions of kids into trying addictive nicotine, creating the youth e-cigarette epidemic. Now, Big Tobacco wants to trick California voters into voting no.

Yes on 31 is an effective policy that is proven to reduce use by kids by taking candy-flavored tobacco off store shelves.

Big Tobacco doesn't care about your "freedoms." Big Tobacco only cares about getting the next generation hooked on nicotine. Using candy flavors to lure kids into becoming lifelong customers is how tobacco companies make big profits while causing addiction, disease, and death.

That's why the American Lung Association, American Heart Association, the American Cancer Society Cancer Action Network, teachers, school nurses, and pediatricians

are asking you to vote Yes on 31. Big Tobacco is spending millions to fool you into voting no.

YES on 31 protects minority communities from Big Tobacco's predatory marketing. Big Tobacco preys on Black neighborhoods, spending billions to lobby, advertise and market minty-menthol cigarettes—the original candy flavor—to Black youth. In the 1950's, fewer than 10% of Black Americans who smoked used menthols. Today, that number has skyrocketed to 85%.

Don't believe Big Tobacco's lies. Get the facts at VoteYesOn31.com

VOTE YES ON 31.

Rick L. Callender, President
California Hawaii State Conference NAACP

Robert E. Wailes, M.D., President
California Medical Association

Sheri Coburn, Executive Director
California School Nurses Organization